Lankan society is rapidly diminishing. Younger and more militant communal leaders of both the communities, raised in a post-colonial atmosphere emphasizing ethnic differences, are less ready to compromise and more prone to violence.

Faridi said the American intelligence was right. We had high stakes involved in Sri Lankan affairs. Indira and subsequently Rajiv Gandhi would not have imagined letting go of this massive investment in regional dominance. Rajiv Gandhi, Faridi clarified, was not very confident about a separate Tamil state in Sri Lanka and during the discussions with then R&AW chief Girish Chandra Saxena, he made it clear that India should act like a negotiator but maintain its leverage over the Sri Lankan government and Tamil groups.

The R&AW was also unhappy over the growing relationship of Sri Lanka with Pakistan and China in its quest for arms and ammunition. The Jayewardene government had quietly forged ties with the two countries India was most uncomfortable with. The spies believed that the 1987 peace accord with Sri Lanka to end the violence though non-military means was an effort to neutralise Islamabad's and Beijing's growing influence in the island nation. While playing peacemaker in 1987, India also helped insurgent groups including the LTTE to set up Tamil peace societies in Moscow, East Germany, Singapore, Cambodia and Cuba with the help of the KGB, the Soviet intelligence agency. These organisations were primarily used to channel funds and carry out propaganda in support of a separate Tamil state as demanded by insurgents and moderate Tamil groups.

The growth of Singapore into a centre for the entire southeast Asian region had attracted a large number of Indian migrants, mostly from the merchant communities. While the Parsis,